MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

SECOND SEMESTER

Skill Development Components (SDC) - MG2SDCAAT101 - COMPUTERIZEDACCOUNTING II (2025 ADMISSION ONWARDS)

VALUATION SCHEME

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I)and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A – MCQ

Answer all questions

Each question carries 1 marks

1. Stock Item belongs to:
   a) Stock Group
2. Item Invoice differs from Accounting Invoice because it:
   a).Records quantity
3. Payroll Reports include:
   d) All of the above
4. Cost Category must be enabled from:
   a) F11 Accounting Features
5. Godown feature is activated from:
   a) F11 Inventory Features
6. Delivery Note is used when:
   b) Goods are delivered before invoicing
7. TDS reports include:
   d) All of the above
8. F12 Payroll Configuration is mainly used to:
   b) Modify payroll settings
9. F11 in Tally Prime is used to:
   b) Enable company features
10. Tally Audit is used to:
    b) Track voucher alterations

Part B
SHORT ANSWER
Answer any 5 questions
Each question carries 4 marks

11. Role of Cost Centres in Departmental Accounting and Performance Evaluation.

Cost Centres in Tally are used to allocate and track expenses or incomes to specific departments, projects, or units within an organization. They play a crucial role in departmental accounting by enabling businesses to record transactions in a more detailed and classified manner. Instead of recording expenses as a whole, cost centres allow organizations to identify where exactly the costs are incurred.

In departmental accounting, cost centres help in dividing the organization into different functional areas such as production, sales, marketing, and administration. Each department can be treated as a separate cost centre, and expenses like salaries, rent, electricity, and other overheads can be allocated accordingly. This ensures **accurate cost allocation**, making it easier to determine the profitability and efficiency of each department. For example, in a manufacturing company, different cost centres can be created for departments such as Assembly, Packaging, and Quality Control. When expenses are recorded, they are assigned to the respective cost centres. This helps in tracking departmental expenditure and identifying cost-intensive areas.

Cost centres also play a vital role in **performance evaluation**. By comparing the expenses and revenues associated with each cost centre, management can assess the efficiency of departments. Variance analysis can be performed to compare actual costs with budgeted costs, helping in identifying inefficiencies and taking corrective actions. Moreover, cost centres facilitate **decision-making** by providing detailed financial insights. Managers can use cost centre reports to decide whether to expand, reduce, or restructure departments. It also promotes accountability, as each department is responsible for its own costs.

Thus, cost centres are essential tools in departmental accounting, providing detailed cost tracking, improving transparency, enhancing performance evaluation, and supporting strategic decision-making.

12. Meaning of “Nature of Payment” in TDS Configuration

The term “Nature of Payment” in TDS (Tax Deducted at Source) configuration refers to the classification of payments based on the provisions of the Income Tax Act under which TDS is applicable. It helps in determining the correct TDS rate, threshold limits, and applicable sections for tax deduction.

In Tally, while configuring TDS, the user needs to specify the nature of payment to ensure accurate tax calculation. Each type of payment, such as salary, contractor payments, professional fees, rent, or interest, falls under a specific section of the Income Tax Act. For instance, payments to contractors fall under Section 194C, while professional fees fall under Section 194J.

The nature of payment determines:

- The applicable TDS percentage
- The threshold limit beyond which TDS is deducted
- The timing of deduction
- The type of deductee (individual/company)

For example, if a company makes a payment to a contractor, selecting "Contract Payment" as the nature of payment ensures that TDS is deducted at the prescribed rate under Section 194C. Similarly, for professional services, selecting the appropriate nature ensures compliance with Section 194J.

This classification is important for statutory compliance because incorrect selection may lead to wrong tax deduction, penalties, or legal issues. It also helps in generating accurate TDS reports, returns, and challans.

13. Difference between Simple Unit and Compound Unit with Examples

Basis	**Simple Unit**	**Compound Unit**
Meaning	A single standard unit used to measure goods	A combination of two simple units
Nature	Represents only one dimension	Represents multiple dimensions
Complexity	Simple and easy to use	Slightly complex due to combination
Formation	Created independently	Created by combining base unit and secondary unit
Examples	Kilogram (kg), Number (nos), Liter (ltr), Meter (m)	Dozen (12 nos), Box (10 nos), Kg per packet
Application	Suitable for basic inventory items like rice, oil, or mobile phones	Suitable for wholesale, manufacturing, and packaged goods

14. Popular Pay Heads Used in Tally

Pay Heads in Tally are used to define different components of employee salary in the payroll system. They help in structuring salary and calculating earnings, deductions, and contributions. The most common Earnings Pay Heads include:

- Basic Salary: The core component of salary, forming the basis for other calculations.
- Dearness Allowance (DA): Given to compensate for inflation.
- House Rent Allowance (HRA): Provided for accommodation expenses.

- Conveyance Allowance: Given for travel expenses.
- Bonus/Incentives: Performance-based payments.

Deduction Pay Heads include:

- Provident Fund (PF): A retirement benefit deducted from salary.
- Employee State Insurance (ESI): A social security scheme.
- Professional Tax (PT): State-level tax on employment.
- TDS: Income tax deducted at source.

Each pay head is configured with calculation types such as flat rate, percentage, or based on attendance. Proper classification ensures accurate payroll processing and compliance with statutory requirements.

15. Procedure for Creating and Managing Multiple Godowns

Godowns in Tally are used to manage inventory across multiple storage locations. To create and manage multiple godowns, the feature must first be enabled.

Step 1: Navigate to Inventory Info → Godowns → Create

Step 2: Enter details such as Godown Name, Parent Godown (if hierarchical), and address.

Step 3: Save the godown.

Multiple godowns can be created for different locations like warehouse, showroom, or branch. Tally also allows hierarchical grouping of godowns.

For managing godowns:

- During stock entry, select the appropriate godown.
- Use stock transfer entries to move goods between godowns.
- Generate reports like “Stock Summary” and “Godown-wise Stock” to monitor inventory.

This system helps in efficient stock control, reduces pilferage, and improves operational efficiency.

16. Significance of Display Option in Inventory Masters

The Display option in Inventory Masters in Tally allows users to view detailed information about stock items, groups, units, and godowns without making changes. It plays a significant role in monitoring and analyzing inventory data.

Using the Display option, users can access stock summaries, movement analysis, and valuation reports. It helps in understanding stock levels, tracking fast-moving and slow-moving items, and identifying shortages or excess stock.

It also improves decision-making, as managers can review real-time inventory data before placing orders or planning production. Since it is a non-editable mode, it ensures data safety and prevents accidental changes.

Thus, the Display option is a powerful tool for inventory analysis and control.

17. How Security Features Enhance Data Confidentiality

Security features in Tally help protect sensitive financial data from unauthorized access and misuse. These features include user-level access control, password protection, and audit tracking.

User-level security allows administrators to assign roles and permissions, ensuring that users can access only relevant data. For example, a data entry operator may not have access to financial reports.

Password protection ensures that only authorized users can open company data. Additionally, Tally provides features like Tally Vault, which encrypts data and makes it invisible to unauthorized users.

Audit features track changes made to data, ensuring accountability and transparency. This helps in detecting fraud and maintaining data integrity.

18. Importance of TCS Reports for Statutory Compliance

TCS (Tax Collected at Source) reports are essential for ensuring compliance with tax regulations. These reports provide details of tax collected from buyers at the time of sale of specified goods.

TCS reports include information such as collection details, buyer information, tax rates, and payment status. They help businesses in preparing and filing TCS returns accurately.

These reports are important because:

- They ensure legal compliance with tax laws
- Help avoid penalties and fines
- Provide transparency in tax collection
- Assist in reconciliation with government records

TCS reports also support audit processes and help businesses maintain proper documentation.

In conclusion, TCS reports are vital tools for managing tax obligations and ensuring smooth statutory compliance.

Part C
ESSAY
Answer any 2 questions
Each question carries 10 marks

19. Enabling Payroll in Tally Prime, Creation of Pay Heads and Employee Groups

Payroll in Tally Prime is used to manage employee salary structures, statutory deductions, and payroll processing efficiently.

Procedure for Enabling Payroll

To activate payroll features:

1. Go to Gateway of Tally → F11 (Features)
2. Select Payroll Features

3. Enable:
    - Maintain Payroll
    - More than ONE Payroll/Cost Category (if required)
    - Enable Employee Groups & Categories
    - Enable Attendance/Production (if needed)
4. Save the settings

Once enabled, payroll menus like Pay Heads, Employee Groups, and Attendance become available.

Creation of Pay Heads

Pay Heads represent salary components and are classified into Earnings, Deductions, and Contributions.

Single Pay Head Creation

1. Gateway of Tally → Payroll Info → Pay Heads → Create
2. Enter:
    - Name (e.g., Basic Salary)
    - Pay Head Type (Earnings/Deductions)
    - Calculation Type (Flat Rate, Percentage, etc.)
    - Value/Rate
    - Applicable period
3. Save

Creation of Employee Groups

Employee Groups help classify employees based on department, designation, or function.

Single Creation

1. Payroll Info → Employee Groups → Create
2. Enter:
    - Group Name (e.g., Accounts Department)
    - Under (Primary or parent group)
3. Save

Multiple Creation

1. Payroll Info → Employee Groups → Create (Multiple)
2. Enter multiple group names together
3. Save

Significance in Payroll Management

- Ensures systematic salary structure
- Helps in department-wise salary analysis
- Facilitates bulk payroll processing
- Supports statutory compliance (PF, ESI, TDS)

- Improves accuracy and efficiency

20. Structure and Statutory Importance of Return Transaction Book in TDS
    The Return Transaction Book in Tally is a comprehensive report that records all TDS-related transactions for filing statutory returns.

    Structure of Return Transaction Book
    It contains:
- Deductor Details (Company information)
- Deductee Details (PAN, type of deductee)
- Nature of Payment
- Transaction Date and Voucher Number
- Amount Paid/Credited
- TDS Deducted
- TDS Deposited
- Challan Details (BSR code, date, number)
  Transactions are grouped based on:
- TDS sections (e.g., 194C, 194J)
- Deductee type
- Nature of payment

Statutory Importance
- Forms the basis for TDS return filing (Quarterly returns)
- Ensures accurate tax deduction records
- Helps in reconciliation of challans and deductions
- Required for Form 26Q / 24Q preparation
- Prevents penalties due to incorrect reporting

21. Concept of TDS and Procedure in Tally Prime
    Concept of TDS
    TDS (Tax Deducted at Source) is a system where tax is deducted at the time of making specified payments such as salary, contractor payments, interest, or professional fees.
    It ensures:
        - Regular revenue for the government
        - Prevention of tax evasion
        - Ease of tax collection

    Configuration of TDS in Tally Prime
        1. Go to F11 (Features)
        2. Enable TDS under Statutory & Taxation

3. Enter:
    - TAN number
    - Deductor details
4. Save

Creation of Masters

- Deductee Ledger (Supplier/Party)
- Set:
    - Is TDS Deductable: Yes
    - Nature of Payment
- Create Expense Ledger linked to TDS

Recording TDS Transactions

1. Pass an expense entry (e.g., professional fee)
2. Select deductee ledger
3. Enter amount
4. TDS is automatically calculated
5. Record net payable amount

TDS Payment Entry

- Use Challan Entry
- Record payment to government

TDS Reports

- TDS Computation
- Deduction Details
- Challan Reconciliation
- Return Filing Reports

Importance

- Ensures legal compliance
- Avoids penalties
- Simplifies return filing
- Provides accurate tax tracking

Thus, TDS in Tally automates tax deduction and ensures compliance with statutory provisions.

22. Creation of Stock Items (Single & Multiple) and Field Significance

Stock items represent goods handled in business and are essential for inventory management.

Single Stock Item Creation

1. Gateway of Tally → Inventory Info → Stock Items → Create
2. Enter:
    - Name
    - Under (Stock Group)
    - Unit of Measurement
    - Opening Balance
    - Rate
3. Save

Multiple Stock Item Creation

1. Inventory Info → Stock Items → Create (Multiple)
2. Select group
3. Enter multiple items in tabular format
4. Save

Significance of Fields

- Name: Identifies the stock item
- Under (Stock Group): Classifies items for reporting
- Unit of Measurement: Defines quantity (kg, nos, etc.)
- Opening Balance: Shows initial stock
- Rate: Determines valuation
- GST Details: Enables tax compliance
- Godown: Specifies storage location
- Reorder Level: Helps maintain stock levels

Importance of Stock Item Creation

- Ensures accurate inventory tracking
- Helps in stock valuation and control
- Supports purchase and sales management
- Enables efficient reporting and decision-making